

Outlook

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Follow-up: participation cash flows are not following the simple story

Hi,

This came up in a working session and nobody had the same definition.

Treasury and Lending need to understand whether originated, serviced and participated loans behave differently after booking.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: participated loans have different payment timing; risk share and customer behaviour are being confused; or servicing-bank arrangements create operational exceptions.

Please start with the decision we need to make, then show whether the available evidence is strong enough to support it. This has returned because the previous answer was useful but not strong enough to become a standing rule. Use July 2024 as the new evidence point rather than recycling the earlier conclusion.

What we need to decide is whether participation terms, servicing controls or reporting need to change. Please bring a one-page finding note plus the underlying CSV for our own review, including a few cases we can trace from source to conclusion.

The available evidence is loan participation and servicing records available by the request date; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments. The files support servicing and behavioural analysis, not external-bank accounting or legal settlement confirmation.

Thank you